

POLICY MANUAL

ACCOUNTS AND FINANCE

04-00-00



Financial accounting is the field of accounting concerned with the summary, analysis and reporting of financial transactions related to a business. This involves the preparation of financial statements available for public use. Stockholders, suppliers, banks, employees, government agencies, business owners, and other stakeholders are examples of people interested in receiving such information for decision making purposes.

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ACCOUNTS AND FINANCE DEPARTMENT 04-00-00

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ACCOUNTING RECORDS

04-01-00



SOP FOR ACCOUNTING RECORDS					
FILE CODE	04-01-00	REVISION	00	DEPARTMENT	ACCOUNTS & FINANCE

	NAME	DESIGNATION	SIGNATURE	DATE
WRITTEN BY	Khadim Ali Shahzad	Quality Management System Consultant	K-M-A	
DESIGNED BY	Maqsood Ahmad	Coordinator Quality Management System	M-A	
APPROVED BY	Muhammad Ali	Managing Director	M-A	

	Distribution List
Copy # 1	Managing Director MD, Head Office
Copy # 2	Director Education & Training DET, Head Office
Copy # 3	Director Administration & HRM, Head Office
Copy # 4	Director Quality Assurance & Audit Head Office
Copy # 5	School Head, Concerned Campus
Copy # 6	Head of Department Accounts & Finance Concern Campus

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SOP FOR ACCOUNTING RECORDS					
FILE CODE	04-01-00	REVISION	00	DEPARTMENT	ACCOUNTS & FINANCE

1. PURPOSE

- The purpose of this work instruction is to set the procedure to maintain the record of all the vouchers and related books of accounts in order to ensure efficient accounting management of School.
- This work instruction enables to school standardize its policies procedure in line with acceptable accounting standards and practices.

2. APPLICABILITY

- This work instruction covers accounting entries for all types of accounting transactions through Cash Receive, Cash Payment, Bank Receive, Bank Payment and Journal Voucher.
- All these vouchers can be generated through school system, hereafter called "Software" and computerized prints of the same are kept in record for financial and other reporting. (In case of unavailability of software, account department manage it manually)

3. RESPONSIBILITIES

- **Director Quality Assurance & Audit** is responsible to ensure that all content, document and data requirements are met prior to issue of this document or its amendments.
- **Director Finance** is responsible to update this work instruction, which may be due to any change in accounting policy or introduction of new accounting standards and practices by local and international accounting standard setting bodies.
- The **School Head** is responsible to maintain this work instruction and ensure that changes / amendments are inserted correctly.
- School Head is responsible to ensure that proper accounting record is maintained and all the source documents and related transactions meet the requirements.
- **Account Officer** of the school is responsible to maintain and comply with the work instruction.
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4. RESOURCES NEEDED

Cash Receipt Voucher (Pad)

Cash Payment Voucher (Pad)

Bank Receipt Voucher (Pad)

Bank Payment Voucher (Pad)

SOP FOR ACCOUNTING RECORDS					
FILE CODE	04-01-00	REVISION	00	DEPARTMENT	ACCOUNTS & FINANCE

5. PROCEDURE

5.1. School Accounting Record

- 5.1.1. The School Accounting Record consists of various vouchers that are used to record all the transactions made on the account of the school.
- 5.1.2. The school is required to maintain accounts with the help of the following source documents / vouchers
 - Cash Receipt Voucher
 - Cash Payment Voucher
 - Bank Receipt Voucher
 - Bank Payment Voucher
- 5.1.3. Details of these two source documents / vouchers are provided in the subsequent clauses.

5.2. Cash Receipt Payment Voucher

- 5.2.1. A Cash Receipt Voucher is issued for any money received which is in form of cash and it clearly indicates all the descriptions and details of receiving head.
- 5.2.2. Cash Receipt Vouchers and Cash Payment Vouchers may be generated through **TS Accounting Software** with duplicate copies. The original will be handed over to payee, while the duplicate copy is retained by the school in a box folder which is properly tagged.
- 5.2.3. All the vouchers are properly filed in sequence numbers and DEPARTMENTS. Before filing, the posting of each voucher will be made in the **Cash Books**.

5.3. Bank Receipt Voucher

- 5.3.1. A Bank Receipt Voucher is raised for any money received which is in form of cheque, demand draft, pay-order or direct bank transfers.
- 5.3.2. Appropriate descriptions and details not receiving head are made in all Bank Receipt Vouchers.
- 5.3.3. A Bank Receipt Voucher must be generated through "School Accounting Software with duplicate copies. The original will be handed over to payee, while the duplicate copy is retained by the school in a separate box folder which is properly tagged.
- 5.3.4. All the vouchers are properly filed in sequence numbers and DEPARTMENTS. Before filing, the posting of each voucher is made in the bankbook.

5.4. Cash Payment Voucher

- 5.4.1. All cash payments are recorded on Cash Payment Voucher which is generated through **TS Accounting Software/Manual**
- 5.4.2. All the Cash Payment Vouchers must be accompanied with supporting invoices or claims.

- 5.4.3. A separate, properly tagged box folder is maintained to file Cash Payment Vouchers in order of sequence and date with all the supporting documents.
- 5.4.4. Before filing, the posting of each voucher is made in the Cashbook.

5.5. Bank Payment Voucher

- 5.5.1. All payments made by cheque are recorded on Bank Payment Voucher), which is generated through **TS Accounting Software/Manual**
- 5.5.2. All the Bank Payment Vouchers must be accompanied with supporting invoices or claims.
- 5.5.3. A separate, properly tagged box folder is maintained to file Bank Payment Vouchers in order of sequence and date with all the supporting documents.
- 5.5.4. Before filing, the posting of each voucher is made in the Bank Book.
- 5.5.5. All Bank Payment Vouchers will also reflect the bank account through which the payment is being made so that accounting entry is made in the correct account.

Record Keeping Charts

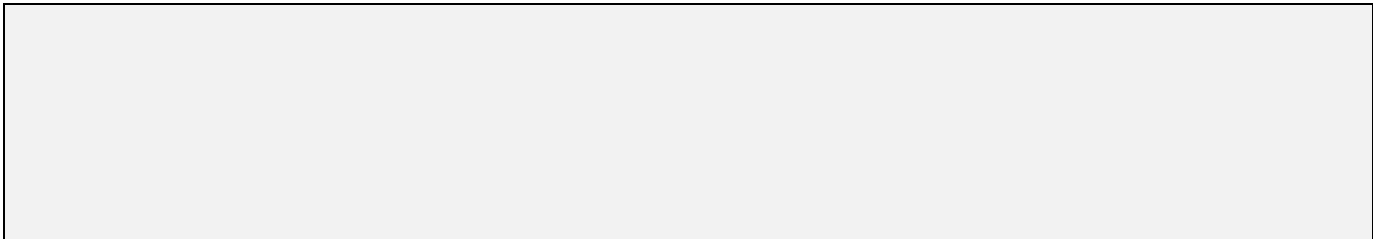
FORM NAME	FORM CODE	Record Type
CASH RECEIPT VOUCHER	04-01-1	Pad
BANK RECEIPT VOUCHER	04-01-2	Pad
CASH PAYMENT VOUCHER	04-01-3	Pad
BANK PAYMENT VOUCHER	04-01-4	Pad

Record Keeping Charts

FULL DESCRIPTION	TERM/ ABBREVIATION
Accountant	A/C
School Head	SH
In-Charge Administration & Accounts	I/C A&A
Cash Receipt Voucher	CRV
Bank Receipt Voucher	BRV
Cash Payment Voucher	CPV
Bank Payment Voucher	BPV

BOOKS OF ACCOUNTS

04-02-00



SOP FOR BOOKS OF ACCOUNTS					
FILE CODE	04-02-00	REVISION	00	DEPARTMENT	ACCOUNTS & FINANCE

	NAME	DESIGNATION	SIGNATURE	DATE
WRITTEN BY	Khadim Ali Shahzad	Quality Management System Consultant	K-M-A	
DESIGNED BY	Maqsood Ahmad	Coordinator Quality Management System	M-A	

APPROVED BY	Muhammad Ali	Managing Director	M-A	
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Copy # 5	School Head, Concerned Campus
Copy # 6	Head of Department Accounts and Finance Concern Campus

[illegible]

SOP FOR BOOKS OF ACCOUNTS				
FILE CODE	04-02-00	REVISION	00	DEPARTMENT
ACCOUNTS & FINANCE				

5. PURPOSE

- The purpose of this work instruction is to set the procedure to maintain the record of all the computerized vouchers and related books of accounts in order to ensure efficient accounting management of school.
- This work instruction enables school to standardize its policies procedure in line with acceptable accounting standards and practices.

6. APPLICABILITY

- This work instruction covers accounting entries for all types of accounting transactions through Cash Receive, Cash Payment, Bank Receive, Bank Payment and Journal Voucher.
- All these vouchers are generated through **School Accounting Software System/Manual**, hereafter called "Software" and computerized prints of the same are kept in record for financial and other reporting.

7. RESPONSIBILITIES

- Director Quality Assurance & Audit is responsible to ensure that all content, document and data requirements are met prior to issue of this document or its amendments.
- Director Finance & Marketing is responsible to update this work instruction, which may be due to any change in accounting policy or introduction of new accounting standards and practices by local and international accounting standard setting bodies.
- The School Head is responsible to maintain this work instruction and ensure that changes / amendments are inserted correctly.
- School Head is responsible to ensure that proper accounting record is maintained and all the source documents and related transactions meet the requirements.
- In-charge Administration & accounts of the school is responsible to maintain and comply with the work instruction.

8. RESOURCES NEEDED

Cash Receipt Book
 Bank Receipt Book
 Cash Payment Book
 Bank Payment Book
 General Ledger
 Profit and Loss Statement
 Balance Sheet Format

9. PROCEDURE

5.6. Books of Accounting

5.6.1. Definition: Books of accounting are the register that carries out all the transaction made through source documents/ vouchers i.e. CPV, CRV, BPV and BRV. Proper accounting record provides substantial information about the cash-flow of your business, the account of cash, the level and status of accounting receivable. Major book of accounting are given hereunder:

5.6.2. Cashbook and Bankbook

- Register is maintained for cash and bank transaction
- All cash receipt and payment will be recorded in the cash book while the bankbook will be used to record all bank transaction

5.6.3. General Ledger

- General ledger is the record of all accounts maintained by the Accounting Department for efficient management of its working.
- The summary of all transaction in the cashbook and bankbook will be entered in the appropriate account in the general ledger at the end of each month.

5.6.4. Memorandum Record

- In addition to the book and ledger given above, the school is required to maintain following memorandum (help in monitoring fee status i.e., analyzing the account of fees received and fee yet to be received.
- Fee Challans
- Cash/Bank Receipt/Payment Vouchers
- Family Wise Fee Ledger
- Class Wise Fee Ledger
- Attendance Registers
- Admissions and Withdrawals Registers/Reports

5.7. Accounting Cycle

5.7.1. Recording of Transaction

- All transaction will be recorded as and when incurred.
- Such transaction will be recorded on the respective software/manual generated voucher mentioned above and maintained in separate box folder along with supporting document.
- All software/manual generated vouchers are auto-numbered, which will be kept sequentially in their respective box folder including cancelled voucher to ensure continuity.
- No voucher may be recorded until the school head or a designate has approved each voucher.

5.7.2. Posting to Book of Accounting

- Posting will be made in cashbook and bankbook at the end of each day. Timely posting of transaction will ensure that all books of accounting are fully updated and in line with day-to-day transaction.
- Each posting in the respective book will bar the reference number of the voucher. Posting in the ledger will be made daily in respect of any journal voucher.

5.7.3. Closure of Books of Accounting

- The books of accounts (cashbook and bankbook) will be closed at the end of each month and the columns totaled up to reflect the total receipts and payments and the respective revenue and expenses/assets accounts to which to which these would be debited or credited.
- These would then be posting through a journal voucher in the general ledger. After the posting have been made the cashbook and bankbook in to the general ledger, each of the ledger accounts will also be closed at each month end
- The balance in the ledger accounting is the difference between the debited and credited entries in the accounts. If the debit total exceeds the credit figure, the account will have debit balance (brought forward into the next month/ period)
- The process of closing of accounts will be done at the month end to ensure that books are properly closed on monthly based.

5.7.4. Extract Trial Balance

- Once the process of closing of accounts has been performed, a Trial Balance is extracted which is a schedule listing all ledger account trial along with their codes and balance.
- The debit balance is listed on left-hand column and the credit balances are listed on right-hand column of the trial Balance.
- The total of two columns must equal for the trail balance to agree.

SOP FOR BOOKS OF ACCOUNTS					
FILE CODE	04-02-00	REVISION	00	DEPARTMENT	ACCOUNTS & FINANCE

6. RECORD KEEPING CHARTS

FORM NAME	FORM CODE	Record Type
CASH RECEIPT BOOK	04-02-01	Pad
BANK RECEIPT BOOK	04-02-02	Pad
CASH PAYMENT BOOK	04-02-03	Pad
BANK PAYMENT BOOK	04-02-04	Pad

GENERAL LEDGER	04-02-5	Pad
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TERM / ABBREVIATIONS USED IN THIS WORK INSTRUCTION

FULL DESCRIPTION	TERM/ ABBREVIATION
Accountant	A/C
School Head	SH
In-Charge Administration & Accounts	I/C A&A
Cash Receipt Book	CRB
Bank Receipt Book	BRB
Cash Payment Book	CPB
Bank Payment Book	BPB
General Ledger	JL
Profit & Loss Statement	PLS
Balance Sheet	BS

REVENUE MANAGEMENT

04-03-00

Revenue



SOP FOR REVENUE MANAGEMENT					
FILE CODE	04-03-00	REVISION	00	DEPARTMENT	ACCOUNTS & FINANCE

	NAME	DESIGNATION	SIGNATURE	DATE
WRITTEN BY	Khadim Ali Shahzad	Quality Management System Consultant	K-M-A	
DESIGNED BY	Maqsood Ahmad	Coordinator Quality Management System	M-A	
APPROVED BY	Muhammad Ali	Managing Director	M-A	

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Copy # 4	Director Quality Assurance & Audit Head Office
Copy # 5	School Head, Concerned Campus
Copy # 6	Head of Department Accounts & Finance Concern Campus

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SOP FOR REVENUE MANAGEMENT					
FILE CODE	04-03-00	REVISION	00	DEPARTMENT	ACCOUNTS & FINANCE

10. PURPOSE

- The purpose of this work instruction is to provide the process of fee collection, fee daily closing head wise, and minimize the fee defaulters
- To forecast the daily, monthly, and annual school revenue from different sources of income
- To manage, record and analyze the revenue operations and control the deficits and outstanding funds in the market.
- This work instruction enables school to standardize its policies procedure in line with acceptable accounting standards and practices.

11. APPLICABILITY

- This manual applies on all students, and account staff

12. RESPONSIBILITIES

- (I/C A&A) In Charge Admin & Accounts and Finance is responsible to supervise all the procedures regarding revenue and to ensure the recoveries.
- Account officer liable to maintain all fee records according to SOP, account officer tries to recover the amounts receivable at 100 percent level.

13. RESOURCES NEEDED

- Daily Revenue report
- Monthly Revenue report
- Daily Admission/Withdrawal Report
- Monthly Admission/Withdrawal Report
- Fee waiver form
- Commitment Forms
- Attendance Register
- Fee Schedule
- Fee Slip
- Class Wise Revenue Report
- Family Wise Revenue Report

14. PROCEDURE

6.1. Fee Receiving

- 6.1.1. Teacher announces for fee recovery of current month on 1st of current month
- 6.1.2. As fee receives account officer make a receipt for fee receiving, take over original receipt to student and keep duplicate copy for record.
- 6.1.3. After receiving fee, account officer enters the data into **Cash Receipt Book** and issues the cash/fee receipt voucher.
- 6.1.4. All the receiving is also maintained in **Accounting Software**
- 6.1.5. At the end of day, account officer makes Day sheet for all expenses and income
- 6.1.6. At the end of day, account officer put all the income expenses as per account rules, and close the day.
- 6.1.7. At the end of month account officer makes monthly day sheet (Monthly Income Expenses Sheet), and bind all the receipts with closing report.

6.2. Daily & Monthly Revenue Report

- 6.2.1. All kind of cash receiving from parents, students, canteen, cafeteria, bookshop etc. are entered into daily revenue report and receipts are recorded as evidence purpose
- 6.2.2. At the end of month all kind of revenue is reported in monthly revenue report. In the report monthly revenue forecast and collected revenue is compared and analyzed.

6.3. Fee Waiver Form

- 6.3.1. Whenever, we provide concession and waive off some charges/amount in different aspects then it is highly recommended to pass this procedure through **FEE WAIVER FORM** and record it in customer/students file for proper record keeping and transparency
- 6.3.2. Fee waiver form is recommended to sign by both customer/parents and the authorized fee/funds waiving authority.

6.4. Commitment Forms

- 6.4.1. For the fee defaulters and all those persons/parties who are defaulters or they have their amounts outstanding in our account they are advised to submit fill and sign the commitment form.
- 6.4.2. In case of full payment, the defaulters have to sign the **COMMITMENT FORM ONE TIME**

6.4.3. In case of payment in the installments the defaulters have to sign the **COMMITMENT FORM INSTALLMENTS**

6.4.4. All the commitment forms are analyzed monthly for further action to take against defaulters

6.5. Admission & Withdrawal Reports

6.5.1. All the new admissions and withdrawals are recorded through **DAILY ADMISSION AND WITHDRAWAL REPORT** so that it may help to estimate the monthly revenue accurately

6.5.2. **MONTHLY ADMISSION AND WITHDRAWAL REPORT** should be maintained for the same purpose and as well as for avoiding the miss-reporting and wrong circulation regarding fee vouchers.

6.6. Attendance Registers

6.6.1. Attendance registers of staff and students should be analyzed

6.6.2. Late comings, short leaves and absentees should be highlighted

6.6.3. Fines according to policy should be charged

6.6.4. These type of fines (if applicable) are also a source of revenue

6.7. Class Wise Monthly Fee Report

6.7.1. A comprehensive monthly fee report register will be operated for fee forecasting including tuition fee, annual funds, exams fee etc.

6.7.2. New admissions and withdrawals are concerned with school revenue. Admin officer reports through admission/withdrawal report and accounts officer accurately forecasts that month's monthly revenue.

6.8. Family Wise Fee Ledger

6.8.1. A comprehensive family wise fee ledger is operated for accurate understanding about parents, students and families associated with school.

6.8.2. In this register all the necessary details about guardian, students, and their financial settlements are registered here and maintained by accounts officer on daily and monthly basis.

Record Keeping Charts

FORM NAME	FORM CODE	Record Type
Monthly Estimated Revenue Report	04-03-1	Register

Daily Admission & Withdrawal Report	04-03-2	Register
Monthly Admission and Withdrawal Report	04-03-3	Register
Commitment Form (One time)	04-03-4	File
Commitment Form (Installments)	04-03-5	File
Fee Waiver form	04-03-6	File
Fee Policy	04-03-7	File
Family Wise Revenue Report	04-03-8	Register

Terms / Abbreviations

FULL DESCRIPTION	TERM/ ABBREVIATION
Accountant	A/C
School Head	SH
In-Charge Administration & Accounts	I/C A&A
Cash Receipt Voucher	CRV

EXPENSE MANAGEMENT

04-04-00



SOP FOR EXPENSES MANAGEMENT					
FILE CODE	04-04-00	REVISION	00	DEPARTMENT	ACCOUNTS & FINANCE

	NAME	DESIGNATION	SIGNATURE	DATE
WRITTEN BY	Khadim Ali Shahzad	Quality Management System Consultant	K-M-A	
DESIGNED BY	Maqsood Ahmad	Coordinator Quality Management System	M-A	

APPROVED BY	Muhammad Ali	Managing Director	M-A	
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Copy # 4	Director Quality Assurance & Audit Head Office
Copy # 5	School Head, Concerned Campus
Copy # 6	Head of Department Accounts & Finance Concern Campus

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SOP FOR EXPENSES MANAGEMENT					
FILE CODE	04-04-00	REVISION	00	DEPARTMENT	ACCOUNTS

1. PURPOSE

- The purpose of this work instruction is to maintain proper accounting and to implement good internal controls so as to ensure that expenses are monitored through timely and proper recording in the books of accounts of the school.
- This work instruction enables school to standardize its policies procedure in line with acceptable accounting standards and practices.

2. APPLICABILITY

This work instruction covers accounting entries for all types of expense transactions through cash, cheque, bank draft, pay order or any other source.

3. RESPONSIBILITIES

- Director Quality Assurance & Audit is responsible to ensure that all content, document and data requirements are met prior to issue of this document or its amendments.
- Director Finance & Marketing is responsible to update this work instruction, which may be due to any change in accounting policy or introduction of new accounting standards and practices by local and international accounting standard setting bodies.
- The School Head is responsible to maintain this work instruction and ensure that changes / amendments are inserted correctly.
- School Head is responsible to ensure that proper accounting record is maintained and all the source documents and related transactions meet the requirements.
- In-charge Administration & accounts of the school is responsible to maintain and comply with the work instruction.

4. PROCEDURE

4.1. Running Expenses

4.1.1 This manual section deals with the expenses that are likely to be incurred for the purpose of running school. An expense involves outflow of cash, and requires close monitoring. It is important that sound controls are in place to ensure that expenses are relevant to the school functions and incurred in a controlled manner.

4.1.2 Each lesson plan consists of the following main components:

4.1.2 Following are expenses that are likely to be incurred:

- Operating expenses – salaries and wages, rent expenses, school general provident fund, other staff benefits, depreciation, etc.
- Administrative expenses – printed stationary, teacher training, postage and telegram, entertainment expenses, livery expenses (staff uniform), advertisement expenses, utilities (gas, water, electricity), repair and maintenance, etc.
- Student expenses – school functions, sports items, teaching aids, student welfare and medical, computer labs, periodicals and newspaper, etc.

- **Financial expenses** – bank charges, interest expenses, interest on lease facility, etc.
- Taxation – income tax etc.

4.2 **Bank Payments**

- 4.2.1. For all sort of payments made by cheques the school prepares Bank Payments Voucher BPV through school software/Manual and all the relevant bills are attached in support of the voucher. The school Head initials the bills to verify the rates and the amount.
- 4.2.2. The Bank Payments Voucher is presented to the School Head for approval along with the supporting bills and cheque. The School Head sends the approved voucher and the signed cheque (if he/she is the signing authority) to the In-charge Administration & Accounts who posts the same in the General Ledger.
- 4.2.3 In-Charge Administration & Accounts retains the approved cheque in safe custody prior to presenting the cheque to the relevant supplier.
- 4.2.4 All cheque should be 'crossed' as "payee's accounts only" in favor of the relevant supplier. Cash or bearer cheque should be discouraged.

4.3 **Cash Payments**

- 4.3.1 For payments made through cash, expenses will be supported by Cash Payment Voucher CPV, which will have details of expenses incurred, the acknowledgement of receipt by the recipient and proof of expense such as bills etc.
- 4.3.2 An entry of such payments is made in the school software/manual in the relevant expense head and a print of computerized CPV is obtained. It is also recorded in Cashbook and General Ledger as per work instruction.
- 4.3.3 All Cash Payments Vouchers will be approved by the School Head and filled properly as part of accounting record.

4.4. **Good Accounting Records**

4.4.1 Good accounting record help to accomplish the following tasks:

- **Control Expenses** – Accounting records are necessary in order to keep track of school revues, expenses, obligations and requirements. Such records provide details of the revenue that you have earned and amounts that are due to the school. It also provides you with the amounts owed the suppliers and Other creditors by your school so that you can plan the availability of cash to meet your obligations they provide controls on expenditures and establish control over individual expenses relative to the overall budget.

- Legal Requirement – All businesses are required to maintain proper books of account and related records. It is therefore essential that adequate records are maintained so that all business transactions are properly recorded and can be backed up when inspected by taxation and other authorities.
- Assess Profitability – Good accounting record will indicate school's level of profit, and provide specific information about the change in profit levels overtime for comparison and decision making.
- Cash Flow – Well maintained accounting records furnish detailed reports of cash availability, both on hand and in the bank, and of cash shortage or diversion of cash. Since cash is the essential requirement to run your business, it must be closely monitored at all times.
- Evaluate Performance – Proper accounting record help you evaluate your school's financial performance by comparing your actual results with figures in your set budgets and those of other similar schools.

4.5 Trial Balance

- 4.5.1. Once at the end of every month, the process of closing of accounts i.e. cashbook, bankbook, general ledger has been performed, a Trail Balance is extracted which is a schedule listing all Ledger Account titles along with their codes and balances.
- 4.5.2. The Debit Balance is listed on left-hand column and the Credit Balance are listed on the right – hand column of the Trail Balance.
- 4.5.3. The total of two columns must equal for the trail balance to agree.

4.6 Review Statements

- 4.6.1. At the end of the month, the school prepares its review statements. These statements consist of Outstanding Fee Balance, monthly Expenses against Petti cash and Overall Monthly Expenses

4.7 Supporting Documents Against Payments

- 4.7.1. Following supporting document must be attached with any BPV or CPV:
 - ✓ Requisition Form which is approved by the School Head
 - ✓ CPV or BPV that is signed by the recipient
 - ✓ Supporting Bill from the supplier, that is checked and signed by the School Head

4.8 Debt Recovery Management

- 4.8.1 Accounts office is also responsible for recovery against debts and outstanding fee

In the market. Recovery officer should be appointed for this purpose, and he is responsible to follow up the debtors telephonically, by written notices and Physically visit as well. Debt Recovery Register will be maintained in this regard.

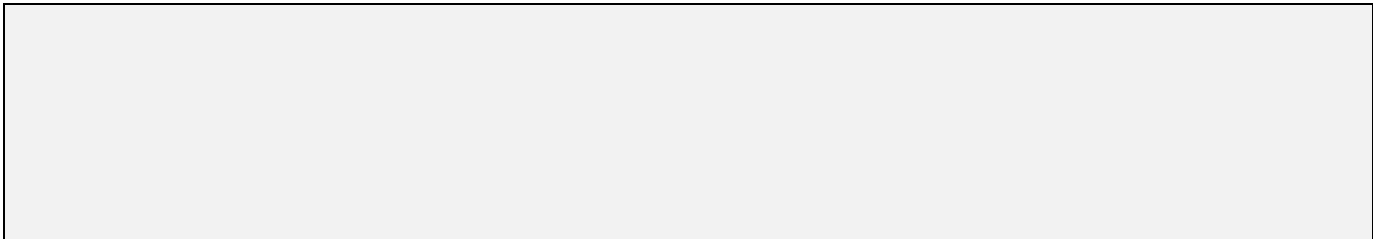
6. RECORDS(S) KEEPING CHART

RECORD TITLE	FILE CODE	TYPE	KEEPER
Outstanding Fee Report	03-04-01	Register	I/C A&A
Monthly Expenses Against Petti cash	03-04-02	Register	I/C A&A
Monthly Revenue and Expenses Report	03-04-03	Register	I/C A&A
Funds Requisition Form	03-04-04	File	I/C A&A
Debt Recovery Report	03-04-05	Register	I/C A&A

7. TERMS/ ABBREVIATIONS USED IN THIS WORK INSTRUCTION

FULL DESCRIPTION	TERM/ ABBREVIATION
Accountant	A/C
School Head	SH
In-Charge Administration & Accounts	I/C A&A
Bank Payment Voucher	PBV
Cash Payment Voucher	CPV
Journal Voucher	JV
Person who provides purchased items / vendor	Supplier

STAFF PAYROLL ADVANCE AND CLEARANCE 04-05-00



SOP FOR STAFF PAYROLL ADVANCE AND CLEARANCE					
FILE CODE	04-05-00	REVISION	00	DEPARTMENT	ACCOUNTS

	NAME	DESIGNATION	SIGNATURE	DATE
WRITTEN BY	Khadim Ali Shahzad	Quality Management System Consultant	K-M-A	
DESIGNED BY	Maqsood Ahmad	Coordinator Quality Management System	M-A	
APPROVED BY	Muhammad Ali	Managing Director	M-A	

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Copy # 4	Director Quality Assurance & Audit Head Office
Copy # 5	School Head, Concerned Campus
Copy # 6	Head of Department Administration and Accounts Concern Campus

[illegible]

SOP FOR STAFF PAYROLL ADVANCE AND CLEARANCE					
FILE CODE	04-05-00	REVISION	00	DEPARTMENT	ACCOUNTS

15. PURPOSE

The purpose of this work instruction is to ensure appropriate procedure for:

- Dispersing school staff salaries
- Sanctioning of advances to the staff and their settlement
- Maintaining good record (Ledgers) of school staff
- Clearance and final settlement of the staff

16. APPLICABILITY

This work instruction is applicable to all the employees of the school

17. RESPONSIBILITIES

- Manager Finance & Accounts of school is responsible to maintain and update the work-instruction.
- Manager HR responsible to provide necessary data relevant to absent and leaves as per policy

18. RESOURCES NEEDED

1. Payroll Register (Government Required)
2. Employee Leave Register
3. Staff Attendance Register

19. PROCEDURE

6.9. Payroll and related expenses

- 6.9.1. Employee cost will be a major component of costs and also need to be properly maintained for legal requirements.
- 6.9.2. In addition to the payments made to teachers and other staff members, the School is to ensure that the legal and contractual liabilities arising from such expenses are being adhered to.
- 6.9.3. Legal liability primarily includes deduction of tax at source under section 149 of the Income Tax Ordinance 2001 and deductions/payments of EOBI.
- 6.9.4. Legal liability to pay "PESS" under Provisional Employee Social Security Ordinance 1965.

- 6.9.5. Legal requirements make it mandatory for the employer to ensure compliance with contractual commitments, which would include contributions on an account of provident fund and other benefits, if provided by the school.
- 6.9.6. Considering these requirements, a sound payroll system consists of the following:
- Adequate employee record for each individual.
 - Prompt completion of all necessary documents in connection with the payroll.
 - Timely preparation of payroll records.
 - Disbursement of the salary on a timely basis.
- 6.9.7. Salary / Payroll expenses if not paid by the end of each month are accrued at the end of each month.

6.10. Payroll preparation and recording

- 6.10.1. Salary of the staff is based on their pay scale as per HR required competence and attendance. The attendance record of the employees is made on the Staff Attendance Register 04-06-1), which is maintained at the reception counter, under the supervision of Admin Officer
- 6.10.2. At the end of each month prior to preparation of payroll for the month, Admin Officer prepares a summary of attendance that indicates presence, absence, leave and late coming etc. of all staff members and forwards the same to School Head for approval. This record is then updated and maintained on **EMPLOYEE LEAVE REGISTER**
- 6.10.3. On the last day of the month the school prepares a payroll statement on Payroll Register for each employee, which mention the salary, allowance, benefits, deductions, gross salary and net salary to be disbursed to each employee by 10th of the succeeding month
- 6.10.4. The payroll prepared by the school will be signed and forwarded to the School Head for final approval of the payroll sheets. On its approval the school will prepare **PAY SLIPS** which will be distributed among the staff of the school on the fifth day of every succeeding month
- 6.10.5. If no discrepancies found within three days of the distribution of the Pay Slips school will disburse salary on 10th of the succeeding month using any of the following manner
- Cross Cheque for each employee, if salary amount exceeds Rs. 12000
 - Bearer Cheque or Cash for employees whose salaries are less than Rs. 12000
 - Online transactions of each employee exceeds than Rs.18000

- 6.10.6. All the cheques are signed by the Director Finance or bank signatory. In some cases, the SH sends payroll statement to the Director Finance and receives cheque directly from there
- 6.10.7. Whatever the case may be, acknowledgement signatures are obtained for cross cheque, bearer cheque or cash received by the employee on Payroll Register.
- 6.10.8. As all the salary concerns completed, account officer must record all the salary amount disbursed into **TEACHER PAYROLL LEDGER** this ledger must be updated on every month.

6.11. Advance to Staff

- 6.11.1. Advance amount benefits to the school staff may be given against their respective salaries. Such advance will only be given to confirmed employees and it should not be more than two basic salaries
- 6.11.2. This amount is to be repaid in six equal installments without charging any interest.
- 6.11.3. In this regard, an **ADVANCE REQUEST FORM** is prepared by the respective employee and submitted to the School Head for processing
- 6.11.4. Account officer reviews the form particularly with respect to entitlement before forwarding it to SH. On its approval, the school raises BPV and a cross cheque in the name of employee.
- 6.11.5. The approved / signed cheque is handed over to the respective applicant and acknowledgement received on the form and BPV, evidencing the receipt of the amount.
- 6.11.6. The record of repaid amount is maintained in the books of account i.e. General Ledger and simultaneously on the form, and also entered into **TEACHER SALARY LEDGER**

6.12. FINAL SETTLEMENT

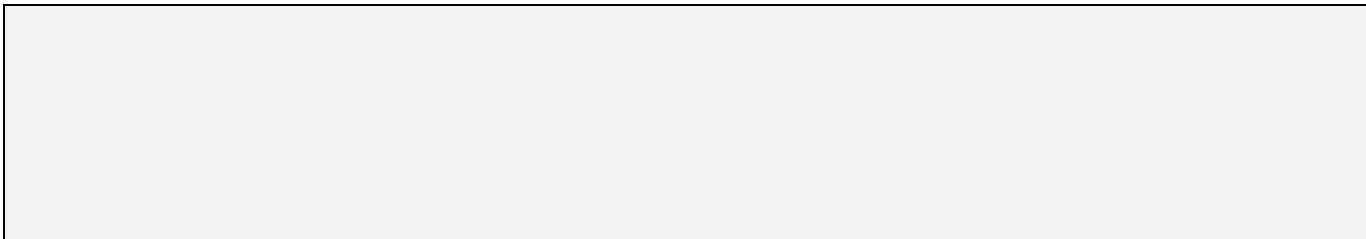
- 6.12.1. Both the school and employee are required to give prior notice of leaving / resigning or terminating employment as per policies specifies in the Staff Hiring & Job Description under file / folder code 01-05-00
- 6.12.2. If no notice is served, an amount equivalent to notice period is deductible / payable accordingly. Whatever the case may be, the school will prepare the employee **FINAL SETTLEMENT FORM**
- 6.12.3. Prior to final settlement all the handing / taking over of the belongings are made as per school record, which it then updated accordingly

Record Keeping Charts

FORM NAME	FORM CODE	Record Type
Employee Leave Record Register	04-06-1	Register
Salary Sheet	04-06-2	Register
Salary Slip	04-06-3	Register
Staff Payroll Register	04-06-4	File
Advance Request & Clearance Form	04-06-5	Register

PURCHASING PROCESS

04-06-00



SOP FOR PURCHASING PROCESS					
FILE CODE	04-06-00	REVISION	00	DEPARTMENT	ACCOUNTS

	NAME	DESIGNATION	SIGNATURE	DATE
WRITTEN BY	Khadim Ali Shahzad	Quality Management System Consultant	K-M-A	
DESIGNED BY	Maqsood Ahmad	Coordinator Quality Management System	M-A	
APPROVED BY	Muhammad Ali	Managing Director	M-A	

	Distribution List
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Copy # 3	Director Administration & HRM, Head Office
Copy # 4	Director Quality Assurance & Audit Head Office
Copy # 5	School Head, Concerned Campus
Copy # 6	Head of Department Accounts and Finance Concern Campus

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SOP FOR PURCHASING PROCESS					
FILE CODE	04-06-00	REVISION	00	DEPARTMENT	ACCOUNTS

20. PURPOSE

The purpose of this work instruction is to:

- Ensure appropriate procedure for effective control of purchasing system
- Involves proper record keeping of purchasing and its operations.
- Accurate estimation and decision making about major purchasing items

21. APPLICABILITY

This work instruction is applicable to accounts and finance head.

22. RESPONSIBILITIES

- Accounts Officer is responsible to keep the record of all purchase records and check it on weekly and monthly basis
- School head is responsible to ensure that proper purchase records of assets is available and maintained

23. RESOURCES NEEDED

1. Material Demand Form
2. List of Approved Suppliers
3. Comparative Statement
4. Purchase Order

24. PROCEDURE

6.13. New Suppliers

6.13.1. New suppliers are initially selected based on the following factors:

6.13.2. Market reputation, experience and reference of other clients

6.13.3. Quality of products and services

6.13.4. Credit facilities

6.13.5. Price

6.13.6. Quotation is taken from new suppliers and information is gathered about their reputation and experience from reference. In-charge administration & Account evaluation the suppliers against their quotations on above-mentioned parameters. After approval from the school Head, the suppliers are registered in the list of approval suppliers. The Evaluation record and list of approved suppliers are maintained in admin and Accounts Branch for reference purpose only.

6.13.7. No bill other than the bill from approved contractor/supplier is acceptable, except the discriminatory power of the school Head.

6.14. Evaluation of Existing suppliers

6.14.1. The school's existing suppliers, who have been dealing with the same for more than six months, are evaluated on the basis of their previous performance history. In-charge Administration & Accounts is responsible for evaluation of existing suppliers. The results of evaluation are recorded on the supplier's evaluation form TS which are reviewed and approved by school head.

6.14.2. After approval the suppliers are registered in the list of approved suppliers TS. The evaluation recorded and approved suppliers are maintained by in-charge Administration & Accounts for reference purpose only

- 6.14.3. Continual Evaluation and analysis of supplier's performance
- 6.14.4. The existing suppliers are evaluated and analyzed after every two months or at random, by the school head.
- 6.14.5. The analysis is reviewed by purchase committee. Based on this analysis, corrective action is initiated or preventive action Request from (see work instruction 12 of administration manual).

6.15. Demand Request from

- 6.15.1. Demand Request from TS is prepared by the concerned staff member of school management, which is forwarded to the school head for approval.
- 6.15.2. After analyzing and approving the school head forward to the demand request from to in-charge administration to check either required items are available or not.
- 6.15.3. If the required item(s) are not available of bids and quotation for procurements of the same.

6.16. Quotation of Purchasing & Purchasing Process

- 6.16.1. Quotation is called for any fixed assets purchase, which will primarily be obtained from approved suppliers. The in-charge School Administration & Accounts prepare comparative statement TS of quotation received, which will mention the rate that has been quoted by the suppliers.
- 6.16.2. The comparative statement is submitted to the school Head and Director, together with the quotation/ Performa invoice, which would then, reviews, selects and approves the suppliers and rates.
- 6.16.3. Purchase Order TS with the relevant terms and conditions is prepared by the in-charge School Administration & Accounts base on the approval given by the School Head and Director, which is then send to suppliers.
- 6.16.4. On receipt of such assets, the in- charge School Administration & Accounts will ensure that the asset specification matches with those as mentioned in the quotation, and will prepared a material Received Record.
- 6.16.5. In case of assets to be received / acquired / purchased from Head Office TS, the in-charge School Administration & Accounts purchase the HO Requisition from duly approved by the school Head, mentioning the assets to be acquired from Head Office TS.
- 6.16.6. The Head office TS, on the base of HO Requisition from issues the required assets and acknowledgment slip in duplicate mentioning the assets that have been dispatched.
- 6.16.7. Upon delivery, the carrier will obtain signature on both copies acknowledgment slip from the in-charge School Administration. The carrier will return the original copy of the acknowledgment slip of Head Office TS, while other copy of the acknowledgment slip is to be retained by the school obtaining the assets.
- 6.16.8. In case the material asset is dispatched through courier, the in-charge Administration & Accounts will prepare acknowledgment slips (see work instruction 07 of this manual) and dispatches the same to Head Office TS.

6.17. Payment of bills / invoice

- 6.17.1. The school on base of invoice raised or on the basis of the approved terms of payment with Head office TS make a payment voucher with cash or crossed cheques made in favor of the suppliers (Prepared). The signed Cheque/ cash in given to the supplier once the payment voucher is approved by the School Head.
- 6.17.2. The accounting entries will be made on purchase of fixed assets on cash or credit in the accounting ledger and school software
- 6.17.3. In case of direct payment the respective Bank Account will be credited. However, in case of credit purchase, the suppliers accounts will be credited on receipt of materials and invoice and debited when actual payment is made.

6.18. . Verification at suppliers premises

6.18.1. In case the purchased products are to be verified at supplier's premises the School Head or any staff member authorized by the SH can contact the supplier and make the necessary verification agreement.

6.18.2. Issuance of Item(s) Asset(s)

6.18.3. In- charge Administration will prepare Item(s) issuance form TS to record all this item(s) asset(s) issued or given on charge to any School staff member.

6.18.4. Inventory Register will also be updated and a signed copy of items issuance form will be kept in the personal file of concerned School Staff member.

6.18.5. Physical Security

6.18.6. School Head will be responsible for ensuring the physical security of all the assets of the school. He will ensure that the following controls, should be in place for proper fixed asserts management.

6.18.7. All assets are coded to facilitate identification and location Provision of adequate security facilities by having watchman with the premises, including adequate measures to counter any fire outbreak by having fire extinguishers etc.

6.18.8. Ensuring adequate insurance cover exists for each class of assets.

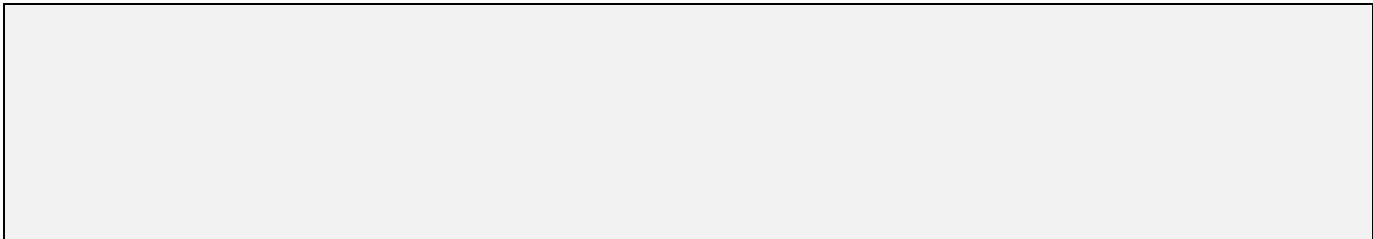
In addition to the above, it is recommended that all assets are physically verified by comparing the count with the fixed assets register on the monthly, bi-monthly and annually basis. In case of discrepancies, the School Head will be informed the related accountants will be amended accordingly.

7. Record Keeping Charts

FORM NAME	FORM CODE	Record Type
Material Demand Form	04-07-01	File
Suppliers Evaluation Form	04-07-02	File
Purchase Order	04-07-03	File

ASSETS AND STOCKS MANAGEMENT

04-07-00



SOP FOR ASSETS AND STOCKS MANAGEMENT					
FILE CODE	04-07-00	REVISION	00	DEPARTMENT	ACCOUNTS

	NAME	DESIGNATION	SIGNATURE	DATE
WRITTEN BY	Khadim Ali Shahzad	Quality Management System Consultant	K-M-A	
DESIGNED BY	Maqsood Ahmad	Coordinator Quality Management System	M-A	
APPROVED BY	Muhammad Ali	Managing Director	M-A	

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SOP FOR ASSETS AND STOCKS MANAGEMENT					
FILE CODE	04-07-00	REVISION	00	DEPARTMENT	ACCOUNTS

25. PURPOSE

The purpose of this work instruction is to:

- Ensure appropriate procedure for effective control of Fixed Assets involves proper record keeping and its physical safeguard.
- Estimate the valuation of stock
- Maintain and calibrate the machines and electronic equipment

26. APPLICABILITY

This work instruction is applicable to school administration and covers the entire operational and executional subjects concerned to school infrastructure

27. RESPONSIBILITIES

Admin & Account Officer is responsible to keep the record of all stock and check it on weekly and monthly basis

School head is responsible to ensure that proper record of assets is available and maintained

28. RESOURCES NEEDED

4. Fixed Asset Register
5. Stock Register
6. Machine History
7. Fixed Assets Register
8. Coding Machine for Asset coding (Or Sticker and Soft File)

29. PROCEDURE

7.1. FIXED ASSETS

- 7.1.1. Effective control of Fixed Assets involves proper record keeping and its physical safeguard. The task for acquiring, disposing and ensuring adequate Insurance Cover including scrapping of asset are the key areas, which require effective control requiring review and approval of the School Head and Director.
- 7.1.2. The school is to delegate responsibility of physical security of assets with the in-charge School Administration and Accounts
- 7.1.3. Electronic and Electrical equipment are expected to maintain and up to date through Machine History Register,
- 7.1.4. Calibration of Electronic and Electrical equipment should be mentioned on the assets as well as in Machine History Register; Calibration of Assets should be done as per specific period of cycle. (For example generator is expected to service and oil change every after 100 hours, and AC service is expected after six months etc.)

7.2. FIXED ASSETS ACQUISITION

- 7.2.1. Since all the purchased items, whether consumable or non-consumable, are going to be entered in stock registers by the Admin Officer before issuance of the same to concerned person(s), in case, the Admin Officer finds any item below standard (s) he shall immediately report to the School Head so that timely replacement or stoppage of payment could be made.
- 7.2.2. On receipt of acquired / purchased assets, the Admin Officer will ensure that the asset specification matches with those as mentioned in the quotations, and will prepare a **MATERIAL RECEIVED RECORD**
- 7.2.3. Material Received Record is prepared on the basis of material received, evidencing that material are received at the school premises with correct specifications and condition.

7.2.4.The accounting entries will be made on purchase of fixed assets on cash or credit in the accounting ledger and school software.

7.3. ASSETS ACQUIRED ON FINANCE LEASE & TRANSFER

7.3.1.Where an asset is acquired via lease financing, the recording is done being the recording on the general ledger register for purchase of assets via finance lease at its inception.

7.3.2.Upon termination of term of the lease and exercising the option to purchase, leased asset is transferred to owned asset

7.4. FIXED ASSETS DISPOSALS

7.4.1.Assets will be disposed where an item has been damaged, obsolete or gone beyond economical repair.

7.4.2.For such items, quotes will be obtained from interested parties. The School Head and Director, after reviewing the various offers approves such disposals after obtaining feedback from the Admin Officer

7.4.3.On disposal, the Admin Officer will prepare a List of Disposed Assets being disposed of mentioning the cost; Accumulated Depreciation and Book Value of asset along with the sale proceed thereon to school.

7.4.4.The school on receipt of such details along with the Cheque, prepare a Receipt Payment Voucher and the entry is made in the General Ledger being the transfer of cost of assets disposed to assets disposal account

7.5. INSURANCE CLAIMS

7.5.1.The school will obtain full Insurance Coverage on all assets as safeguard against any unforeseen events such as theft, fire, or natural catastrophe.

7.5.2.In case of any damages insured against insurable assets, the Admin Officer will forward the intimation to School Head.

7.5.3.School will prepare the claims for the estimated loss and lodge the same will be created against the Insurance Company. This receivable is posted in the Disposal Account to calculate the ultimate gain / loss in disposal of assets

7.5.4.In case the claim is for repair, the amount of claim accepted by the insurance company is recorded as "Insurance Claim Against Repairs"

7.6. Fixed Asset Register

7.6.1.A Fixed Asset Register is maintained by the Admin Officer as part of the memo records to ensure proper record keeping of each individual asset.

7.6.2.For the purpose of proper record keeping, the Admin Officer maintains a detailed **Fixed Asset Register** which will state the description, category, vendor, purchase date, initial cost, and depreciation charge for the year, accumulated depreciation and net book value of the asset.

7.6.3.In addition to the above, all fixed assets have a distinct code for each item of asset on a location wise basis. The code will also be mentioned in the **FIXED ASSET REGISTER**

7.6.4.At the time of acquisition or disposal, Admin Officer will update the fixed asset register by entering or deleting the cost of asset along with the asset description and code.

7.6.5.The following information can be extracted from the **FIXED ASSET REGISTER**

Location: Individual asset location can be determined on the basis of asset coding

List of Addition: This provides category-wise details of the addition in the fixed asset for a particular period

List of Disposal: This provides category-wise details of the fixed asset disposed in a particular period. Net Book Value of individual assets can be determined to calculate the gain and loss on disposals.

History: The register can be used for obtaining information relating to any asset. The information includes the vendor name, cost, book value, and accumulated depreciation.

7.7. INVENTORY REGISTER

7.7.1.Admin Officer is required to maintain and update **INVENTORY REGISTER** in order to record all item(s) / assets (s) or given on charge to any staff member of the school through **ITEM(S) ISSUANCE FORM**

7.7.2.All the school register, documents, manuals, files and folders that are issued for maintaining school record to concerned staff members will also be recorded in the inventory register.

7.7.3.All such item(s) / assets are subject to recovery at the time of handing-taking over, in case the concerned staff members are assigned some other responsibilities or relieved from the services.

7.7.4.Admin Officer is responsible for recovery of all such item(s) / assets(s) and performs the act of handing and taking over after verification of records available in Inventory Register and Item(s) Issuance Forms inserted in the personal file of the concerned staff member of the school.

7.8. STOCK REGISTER

7.8.1.Admin Officer is required to maintain and update Stock Register in order to record all consumable items(s) such as chinks, washroom accessories, stationer items i.e. pen, pencil, staple pins etc. Which are issued or given on charge to any staff member of school through **ITEM(S) ISSUANCE FORM** (See in POS of Purchase Process)

7.9. Physical SECURITY

7.9.1.Admin officer will be responsible for ensuring the physical security of all the assets of the school. He will ensure that the following controls, should be in place for proper fixed asserts management.

- All assets are coded to facilitate identification and location Provision of adequate security facilities by having watchman with the premises, including adequate measures to counter any fire outbreak by having fire extinguishers etc.
- Ensuring adequate insurance cover exists for each class of assets.

In addition to the above, it is recommended that all assets are physically verified by comparing the count with the fixed assets register on the monthly, bi-monthly and annually basis. In case of discrepancies, the School Head and Director will be informed the related accountants will be amended accordingly.

8. Record Keeping Charts

FORM NAME	FORM CODE	Record Type
Inventory Register	04-07-01	Register
Assets and Accessories Register	04-07-02	Register
Repairing and Maintenance Register	04-07-03	Register
Motor/Generator Log Book	04-07-04	Register
Store Management Register	04-07-06	Register
Assets Disposal Request	04-07-07	File

ANNUAL BUDGETING

04-08-00



SOP FOR ANNUAL BUDGETING					
FILE CODE	04-08-00	REVISION	00	DEPARTMENT	ACCOUNTS

	NAME	DESIGNATION	SIGNATURE	DATE
WRITTEN BY	Khadim Ali Shahzad	Quality Management System Consultant	K-M-A	
DESIGNED BY	Maqsood Ahmad	Coordinator Quality Management System	M-A	
APPROVED BY	Muhammad Ali	Managing Director	M-A	

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Copy # 5	School Head, Concerned Campus
Copy # 6	Head of Department Accounts & Finance Concern Campus

- The purpose of this work instruction is to provide the process annual budget preparation
- To forecast the annual expenditures and set its breakups
- To actualize the financial facts and figures
- To control the unnecessary expenses
- To establish a proactive accounts and finance system in the school

31. APPLICABILITY

- This SOP will be applicable on School Management Committee (SMC) and (I/C A&A) In Charge Admin & Accounts and Finance

32. RESPONSIBILITIES

- (I/C A&A) In Charge Admin & Accounts and Finance is responsible to provide annual balance sheets and profit and loss statements
- (I/C A&A) In Charge Admin & Accounts and Finance is liable to prepare annual budget plan before starting the new year

33. RESOURCES NEEDED

- Previous Annual Profit & Loss Statements
- Previous Annual Balance Sheets
- Annual Budget Plan Form

4.	Budget Preparation	
4.1	The budgeting process starts from November and the annual budget is finalizing and approved by the Director by 25 th December on every year.	
4.2	The revenue forecasts would be prepared each year on the basis of revised structure and bases proposed by school. The revenue forecast would be fundamental for the preparation of expenditure budgets as most of the expenses are capped and controlled as a certain percentage of revenue.	
4.3	In addition to above, annual cash flow projections would be primarily based on cash collections, which will form a basis for the preparation of projected cash flow.	
4.4	The budget for capital expenditures is initiated by School, according to the following major areas;	
	➤ Capital Expenditure ➤ Requirement for play equipment ➤ Educational Kits ➤ Audio/Visual teaching aids ➤ Student furniture	➤ Major replacement to existing assets / educational kits ➤ Additions to office machines and equipment ➤ Additions to furniture ➤ Fixture and library books
4.5	Regarding capital expenditures, the total requirements of assets would be checked with the assets already bought by the campus. The additional capital expenditures to be incurred during the budgeted year would be shown in the budget.	
4.6	Following is the list of major revenue expenditures to be included in Schools' Budget;	
	Expenditure Category	Expenses
	UTILITY EXPENSES Telephone, Telex and Fax Bills	Telephone, telex and fax bills. Electricity. Gas. Water.
	Repairs and Maintenance	Repair and maintenance of building including electric fitting and annual paint work. Repair and maintenance of furniture. Repair and maintenance of partitions, soft boards, curtains, carpet etc. Routine maintenance of playing equipment.

Vehicles Maintenance Cost	Routine maintenance and major repair work.
Administrative Expenses	All office and School printed stationary, reports, printed challans, forms. Postage and telegram etc.
Staff Welfare / Entertainment Expenses	Staff welfare/entertainment. Cost of crockery.
Travelling Expenses	Transportation cost. Travelling for training.
Livery Expenses	Uniform for junior staff.
Marketing Expenses	Advertisement in newspaper, magazines & School, Signboards.
Garden and ground Expense	Gardening Expenses.
Training Cost	Teacher training.
Conservancy Expenses	Toiletries including tissues, soap, duster, brush, vim, etc.
Bank Charges	All the bank charges.
Other Student Expenses	Expenses incurred on annual or any other function. Sports item. Student medical expenses. Educational visits. Teaching aids. Newspapers & magazines. Stationary and learning material.
4.7	In order to determine the budgeted revenue expenditure, the following basis should be considered.
EXPENSES	BASIS FOR BUDGET
UTILITY EXPENSES	
Telephone, Telex and Fax Bills	
Telephone Bills	- Local calls :4-5 calls per student per month; - Fixed line rent or Rs, 200 minimums plus government taxes (if any).
Electricity	
Electricity Bills	Budget should be based on the actual units of electricity consumed during last year or during different periods of consumption.
Gas	
Gas Bills	Budget should be based on actual units of gas consumed during last year keeping in view any local requirements. For newly operating campuses, provision may be made for Rs.1,000 per month or any estimate depending upon the gas equipment and/or appliances installed at campus.
Water	
Water Bills	Budget should be prepared in accordance with the requirements of local authorities of the area in which "PS" is located or Actual.
Repairs and Maintenance	
R&M Building	
Normal R&M of building including electric fitting & annual paint work	- This will be based on covered area of the building: - Rs.6 per square foot for enamel /emulsion, normal repairs and minor electrical fittings.
R&M Furniture	
R&M of partitions, soft boards, curtains, carpets, etc.	Rs.8 per student per month (including annual paint work of furniture) or minimum Rs.15,000 per annum.
R&M Vehicles	
Routine maintenance	Rs. 1,200 PM per vehicle for routine maintenance.

and major repair work	Other major repairs are separately budgeted.
R&M playing Equipment	
Contractual and routine maintenance of hardware including replacement of parts.	Rs.4 -Rs.6 per student per month for repairs and maintenance of equipment or Rs. 1,000 per month.
ADMINISTRATIVE EXPENSES	
Printed Stationary	
All office and school printed stationery, reports, printed challans, forms etc.	Rs.6 – Rs.10 per student per month.
Postage and Telegram	
Mail tickets, courier bills, etc.	Rs. 500 per month (Fixed) or based on frequency of correspondence with TE/others.
Staff welfare/Entertainment expenses	
Staff welfare/entertainment	Rs. 5,000 per month or Rs.10 per staff per working day.
Cost of crockery	Rs. 1,500 per year.
Travelling and Conveyance expenses	
Transportation cost and travelling for training	Rs. 1,000 per month
Livery expenses	
Uniform for junior staff	Rs. 3,000 per annum For peon, maids and watchman.
Advertisement expense	
	The budgeted on estimated cost according to Network.
Advertisement in newspapers, magazines & School signboards.	Associate agreement or local media plan for advertisement, campaign of each campus. During first year of operations, the advertisement cost will be higher. This budgeted cost will be reduced gradually depending upon the yearly student strength of the campus.
Garden and Ground expenses	
Gardening Expenses	Rs. 600 per month
Teacher training	
Teacher training expenses	Rs. 12,000 – Rs. 15,000 per annum or higher as estimated by the School Head.
Conservancy expenses	
Toiletries including tissues, soap, duster, vim, etc.	Rs. 500 – Rs. 700 per month, as estimated by School Head.
Bank charges	
All bank charges	Rs.300 – Rs.500 per month or higher depending upon student's strength/ bank transactions of campus.
Other Student expenses	
"PS" Functions	
Expenses incurred on annual or any other function.	Rs. 20,000 – Rs. 25,000 per annum or as estimated by the School Head, depending upon events/ functions.
Sports Items	

	Outdoor Play – equipment's	Rs. 2,000 – Rs. 3,000 per annum.
	Student Medical expenses	
	Medical aids for student	Rs. 2,500 per year + Any local requirements
	EXPENSES	BASIS FOR BUDGET
	Educational Visits	
	Expenses on educational trips including entertainment.	Rs. 8,000 – Rs.10,000 per annum. Or depending upon the events to be arranged by the school.
	Teaching Aids	
	Teaching Aids	Around Rs. 1,500 to Rs. 2,500 per annum for general maintenance of educational kits.
	Periodicals and News papers	
	Newspapers and Magazines	Rs. 1,000 per month.
	Stationery and material cost	
	Stationary and learning material cost	Rs. 30,000 to Rs. 32,000 per annum.
5.	Salaries and Rent Budget	
	5.1	Being a service-oriented concern; payroll costs contribute a major portion of Administrative and Operating Expenses. Furthermore, if the premises for "PS" are acquired on rent, the rental expense would be a material amount.
	5.2	The salary budget would be determined in light of the estimated salary and number of teachers.
	5.3	The future payments for the rent would be estimated on the basis of rental agreement considering any escalation clause in the rental agreement.
	5.4	Budget Presentation, Adoption and changes
	5.5	The preliminary draft of the budget would be presented to the School Head for review.
	5.6	This draft will be thoroughly discussed with the School Head and Director. All changes proposed by the Director would be incorporated in the final budget.
6.	Approval of the Budget	
	6.1	The budget would be approved by the Director
	6.2	The approval of the budget would be done by the end of December. This budget would further be revised in September. Based on the new admissions obtained during August each year, the revised budget should be approved by the School Head during the last week of September each year.
	6.3	"PS" is required to send an approved copy of the budget, duly signed and stamped by the School Head, to "PS" Regional office, by the end of May each year. Similarly, the copy of revised budget would be sent to "PS", Regional office by the end of September each year.
	6.4	Expenditure of the School will be controlled in line with the approved budget.
	7	Monitoring and controlling
	7.1	It is the responsibility of the School Head to monitor individual expenses.
	7.2	Actual monthly expenses be compared with the budgeted expenses and School Head should plan to control such expenses if they are increased from the budget.
	7.3	Year-end procedure
	7.4	At the year-end (i.e.; 31 st January each year), school will prepare a Variance Analysis Reports &

	Income Statement comparing actual results with that of budgeted and also giving reason(s) for major differences.
7.5	The School is required to send an approved copy of the Variance analysis Report, duly signed by the School Head and Director, to school Regional Office latest by 3 rd week of August each year.
7.6	Cash Flow Projection
7.7	As part of the budget process annual forecast of cash flows is prepared. This enables the management to arrive at the estimated cash requirements for future expenditure and analyzing time periods of cash shortage / excess cash.
7.8	In period of cash shortage, loans or borrowings through banks can be arranged through banks and financial institutions to meet such requirements. While estimating future cash flows, care should be taken of all legal and contractual payments e.g., Tax payment; payroll payments and repayment of loans availed off or borrowings obtained, if any.

School Head

Director/Chairman